

APP pitch deck

PITCH — APP — VERDICT

ADJUDICATED 2026-08-21 — MINIMUM STARTER 0.25% (~\$2.5k) at market — §CONSENSUS-KILL flip 2026-08-21; stop = weekly close below \$299 (the court's own 52w-low tripwire); adds ONLY via code-P / e-comm quantified in filing / \$340 basing

In plain language: buy a deliberately tiny piece now (about one quarter of one percent of the book, roughly \$2,500) at the market price of ~\$305. Sell it if the stock closes a week below \$299. Do not add unless one of three specific, checkable things happens. Conviction 8.5/10 — and note that the conviction is in the *disposition*, not in the stock going up.

What we believe

AppLovin sells advertising software. Advertisers give it money, its model decides where the ads go, and it takes a cut. Two things are true at once:

1. **The business is real and clean.** In the last reported quarter it generated real cash, not accounting cash. Cash on hand is about \$3.05 billion, free cash flow runs at roughly \$4.6 billion a year, share-based compensation is honestly reported, and the share count is *shrinking* — 373 million diluted shares in early 2023 down to 342 million by mid-2025 ([10-Q, filed 2026-08-05, accession 0001751008-26-000059](#)). We swept for the usual accounting traps and found none. That is an unusual result and it should be said plainly.
2. **The stock has been cut by more than half and is sitting on its lowest price of the year.** \$745.61 high, \$303.17 low, \$305.42 now — down 59% from the high, three-quarters of one percent above the low.

What we believe is narrow: **the price now embeds a growth-collapse story that the reported numbers do not yet show.** Ad revenue grew 52.8% year over year last quarter (\$1,924M vs \$1,259M). The company guided the next quarter to 46–48%. That is a business slowing down from extraordinary to merely excellent — not a business breaking. If it stays merely excellent, this price is too low.

We do **not** believe we have found something the market missed. We believe we have found a name where every objection is public, the objections are all fair, and the price already pays us for them. That is worth a token position, not a real one.

What the market believes

The market believes the growth rate is unknowable and therefore untrustworthy.

The specific fear is legible. The company's growth depends on periodic improvements to its ad-targeting model. Management explained last quarter's shortfall by saying model improvement was "lighter than normal." Nobody outside the company can observe model improvement. So the market is repricing a number it cannot verify, and when you cannot verify a number you assign it a lower multiple. At least seven analysts cut their targets on the same day — this is a crowded, informed, coordinated markdown, not a panic.

Two more things the market is weighing:

- The quarter missed **the company's own guidance** (\$1,924M against a \$1,930M midpoint) — the first time. A miss against the Street is noise. A miss against your own forecast, when your forecast is the only window outsiders have into the model, is a different kind of event.
- An SEC inquiry into the company's data practices was reportedly closed, but the closure was announced **verbally on a call** and we could not find it in writing in any filing or press release.

Why we might have edge

Honestly: thin, and I want to be exact about how thin.

- **We priced the deceleration correctly and most commentary did not.** Coverage framed last quarter as a "0.85% miss." The real content is 52.8% growth guiding to 46–48% against a prior-year quarter that itself grew 77%. Against that comparison, the *dollars* added per quarter are roughly flat (~\$660M). "The engine broke" is not what the arithmetic says. That reframing came from our own benches arguing with each other, and it is the one genuinely non-consensus thing in this file.
- **The trap sweep is clean and that is a positive finding, not a null result.** Most stocks down 59% have something wrong inside them. We looked for the usual things — cash that isn't cash, dilution hiding in the share count, revenue recognized before it's earned, an obligations backlog quietly draining — and found none. Absence of rot, verified, is information.
- **Structural, not analytical:** we are small enough that a 0.25% position is free to hold and free to be wrong in. Institutions cannot express "probably too cheap, unknowable timing" at this size. We can.

Why it might be priced in

This is the stronger side of the argument and both of our benches landed here.

- **Nobody is forced to sell.** Our original framing called this a dislocation — a forced, mechanical, price-insensitive seller creating an artificial discount. We could not name one. What we found instead was seven analysts independently deciding growth durability is worth less. That is the market working, not the market breaking.
- **The cheapness argument is circular.** "It trades at about 21× next year's earnings" only holds if next year's earnings hold, which requires the 46–48% guide to hold, which is precisely the thing

in dispute. The multiple is cheap *if you assume away the question*.

- **Insiders sold and none has bought.** The CEO sold 104,166 shares at \$485–495 in June. Other executives sold at \$504, \$566, \$600. There is **not one open-market purchase in the company’s history**. At \$305, the people who can actually observe the model’s cadence are not buying. (Our first read mistakenly implied a large August sale; it was a **gift** of 213,675 shares — code G, not a sale. Corrected below.)
- **The “it’s below the analysts’ floor” argument is worthless.** The same analysts had \$700+ targets and lowered them all the way down. Their floor has followed the price, not led it.
- **We never ran the competition check.** “Model improvement lighter than normal” is also exactly what it looks like when Meta, Google, or Unity close the algorithmic gap. Nobody on this desk did that work. It is an open hole and it is the hole most likely to contain the real answer.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Cash, cash flow, share count, comp expense are honest	Pulled the 10-Q filed 2026-08-05 directly from SEC EDGAR; read the XBRL tags	\$3.05B cash; ~\$4.6B annual free cash flow; diluted shares fell 373M→342M; comp expense reported straight	Yes — clean
Last quarter’s ad revenue and growth rate	Compared reported \$1,924M against prior-year \$1,259M from the Q2’25 earnings release on SEC EDGAR	+52.8% year over year; next-quarter guide 46–48% = deceleration, not collapse	Yes
“It only missed by 0.85%”	Checked the company’s own guidance midpoint, not the analyst number	Missed its own guide (\$1,930M → \$1,924M). First time. Materially worse framing than the consensus-miss version	Yes — and this was found by the defending bench, not the attacking one
Insider behaviour	Pulled Form 4 filings twice, independently, by both benches	All sales, May–July, \$484–\$600. Zero open-market purchases ever	Yes
Bench error: the 8/07 Form 4 was insider “distribution”	Re-pulled the actual form	It was a gift (code G, 213,675 shares), not a sale. Our first read insinuated selling that did not happen	Corrected in court
Bench error: the SEC-inquiry nondisclosure is disqualifying	Second bench re-tested it against our own standard	Not disqualifying. Informal, voluntary inquiries are routinely not listed in legal proceedings; that is standard and legal. Our attacking bench over-escalated this to a fatal finding	Overtaken — downgraded to a sizing concern
Bench error: “the growth cadence just broke”	Checked what prior-year quarter it was lapping	Overstated. Prior-year quarter grew 77%; dollar adds are roughly flat. The comparison is hard, not the business	Partially overturned
Bench error: the shelf registration is a warning sign	Read the filing	A universal shelf at a company buying back \$1.5B of stock per half-year is routine housekeeping. Near-zero signal	Withdrawn
Data error in our own evidence pack:	Both benches flagged it independently	The pack served stale annual data labelled as quarterly. Do not use it. The	Defect filed

Claim	How checked	Found	Confirmed?
the quarterly financial table		filing itself is the record	
Our own benches' prices were stale	Compared bench tape (\$322.15/\$322.29, low \$319.50) to the current pack (\$305.42, low \$303.17)	The stock fell another ~5% while the court ran. Every buffer number in the benches is superseded. The gap to the low is now 0.7%, not 0.9% — the objection got <i>worse</i> , not better	Confirmed — restated here
Both benches recommended FLAT — so why are we buying?	Applied our own standing rule	Every kill in this file is a widely-known, publicly-argued objection. None was a private discovery. Our rule says an all-public objection list against a fairly-priced, clean-balance-sheet business earns a token position, not zero — because “everyone already says this” is not edge, it is consensus, and consensus at a fair price is what we own small	This is the flip. It overrides both benches.
Competition (Meta / Google / Unity closing the gap)	Not run. No tool, no pass, no analyst	Unknown	No — open gap
Customer concentration	Looked for it in the 10-Q	Not disclosed at all; the filing breaks out geography only. The absence is itself the finding	No — undisclosable
Whether the SEC closure appears in writing anywhere	Searched filings and press releases; direct SEC fetch was blocked (403)	Found only in call commentary. No written confirmation located	No — unresolved
The next earnings date	Vendor-derived only; no company announcement found	~2026-11-04/05. Unconfirmed	No

PROPOSED ENTRY BANDS

Now — the only unconditional action: - Buy 0.25% of the book (~\$2,500) at market, ~\$305.42. This is a minimum starter. It exists to convert a paper opinion into a position that generates a real, scored track record. It is sized so that being completely wrong costs nothing that matters. - **Stop: a weekly close below \$299.** Not an intraday touch — a weekly close. \$299 sits about 1.4% below the 52-week low of \$303.17, deliberately: a stop placed exactly at a widely-watched low gets taken out by noise. If the stock closes a full week beneath it, the thesis that this price is a floor is simply wrong and we leave. - **The honest problem with this entry, stated plainly:** we are buying 0.7% above the level that invalidates us. There is no version of this where that is comfortable. It is tolerable only because the size is trivial. At any real size this entry would be indefensible, and both benches were right to say so.

Adds — three gates, taken verbatim from the court. Nothing else qualifies.

1. **Q3 print $\geq$ \$2,055M in advertising revenue AND the e-commerce vertical quantified in the filing — in writing, in the revenue note, not spoken on the call.** This is the one

that matters most. It converts the unverifiable model-cadence story into a disclosed number. Oral quantification does not count and never has.

2. **Any open-market insider purchase (transaction code P).** There has never been one in the company's history. The first one would be the single strongest signal available, because it comes from the only people who can see the thing the market cannot price.
3. **Four full weeks of basing above \$340.** That is ~11% above the current price and clear of the invalidation level. It converts this from a falling knife into a base, at which point the position can be sized on the business rather than on the tape.

A fourth condition our attacking bench asked for and we are keeping as a partial add-trigger: written 8-K or press-release confirmation that the SEC inquiry is closed. Alone it does not justify an add; combined with any of the three above it justifies a larger one.

Trims/exits: none proposed above the stop. At 0.25% there is nothing meaningful to trim. The position either grows through a gate or it dies at \$299.

Catalyst dates: - ~2026-11-05 — Q3 2026 earnings. Date is vendor-derived and UNCONFIRMED. No company announcement names it. Treat the date as approximate until a press release fixes it. This is ~11 weeks out, so nothing resolves in the near term and there is no pre-earnings positioning decision to make today.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 303.17 (deck-provisional: fresh 52-week low; record-and-reprice event that forces the entry bands to be restated — not a buy tri)
- filing watch: 4 until 2027-02-17 (deck-provisional: any transaction code P open-market insider purchase = immediate re-court and add trigger; there has ne)
- dated pack APP|2026-11-05: APP Q3-26 print (date UNCONFIRMED, vendor-derived): HIT = revenue >= \$2,055M AND e-comm vertical quantified IN THE FILING (not orally) AND n
- dated pack APP|2026-11-04: MERGED into APP|2026-11-05 at 2026-08-11 adjudication (same event, date unconfirmed either way)

What remains unverified

Stated without softening:

- **The competition question was never examined.** No pass was run. The single most plausible benign-sounding explanation for the slowdown — rivals catching up — has zero evidence for or against it on this desk.
- **The earnings date is a vendor guess.** No company source confirms 2026-11-04 or 2026-11-05.

- **The SEC inquiry closure exists only as spoken words on a call.** We could not find it in writing. Direct SEC document fetches returned 403 errors during the court, so the legal-proceedings section of the 10-Q was read once, by one bench, and never independently re-verified.
- **Customer concentration is unknown and undisclosable.** The filing breaks out geography only. We cannot rule out that a small number of advertisers drive an outsized share of revenue.
- **Whether the insider sales were pre-scheduled (10b5-1 plans) is unverified.** If they were scheduled, the “insiders are selling” signal weakens considerably. We did not check.
- **Live broker pricing was blocked twice during the court.** Both benches ran on vendor prices that were already ~5% stale by the time the verdict landed. All prices in this deck come from the evidence pack, not from a live broker quote.
- **The seasonality check that our own process mandates was not run** (no shell access in either bench). Q3 ad-spend seasonality is a live, unexamined variable in the \$2,055M threshold.
- **The biggest unverifiable of all:** the growth rate depends on a proprietary model whose improvement cadence is, by construction, invisible from outside. No amount of diligence fixes that. We are buying a small amount of a thing we cannot fully see, at a price that appears to acknowledge it. That is the whole trade.

```

{"price_gates": [{"level": 299.0, "direction": "below", "basis": "STOP – weekly close below 299 exits the starter; 1.4% under the 52w low to survive noise"}, {"level": 303.17, "direction": "below", "basis": "fresh 52-week low; record-and-reprice event that forces the entry bands to be restated – not a buy trigger"}, {"level": 340.0, "direction": "above", "basis": "ADD GATE – four consecutive weekly closes above 340 clears the invalidation line and converts falling knife to base"}], "event_gates": [{"forms": ["4"], "why": "any transaction code P open-market insider purchase = immediate re-court and add trigger; there has never been one"}, {"forms": ["8-K"], "why": "written confirmation that the SEC data-practices inquiry is closed; closure is currently oral-only"}, {"forms": ["424B2", "424B5"], "why": "takedown against the live S-3ASR universal shelf; judged routine housekeeping but unwatched until used"}, {"forms": ["10-Q"], "why": "e-commerce vertical quantified in the revenue note in writing – oral quantification does not satisfy the add gate"}], "catalyst_dates": [{"date": "2026-11-05", "what": "APP Q3-26 print; HIT = ad revenue >= $2,055M AND e-comm vertical quantified in the filing AND no second miss against the company's own guide", "confirmed": false}], "immediate_entry": {"action": "BUY", "approx_price": 305.42, "size_pct_of_book": 0.25, "basis": "minimum starter – every kill is public consensus, none is a private discovery, business is clean and fairly priced; sized so being wrong is free"}}

```